Project Objective

To construct a 60-month cash flow model for a Special Purpose Vehicle (SPV) executing a credit card asset-backed securitization (ABS) transaction, and to determine the total cash distributions made to the noteholders.

Background & Data

The transaction models a credit card receivable portfolio with the following characteristics, transaction mechanics, and capital structure:

- Portfolio Characteristics:
  - Initial Balance: $500 million
  - Customer Accounts: 400,000
  - Average APR: 18%
- Defaults, Recoveries & Fees:
  - Annual Servicing Fee: 2% of the beginning receivable balance
  - Annual Charge-off Rate: 5%
  - Recoveries: 20% of charged-off balances, subject to a 4-month recovery lag
- Payment Behavior (Monthly Payment Rates):
  - Months 1–12: 10% of the outstanding balance
  - Months 13–24: 12% of the outstanding balance
  - Months 25–60: 15% of the outstanding balance
- Revolving Period Mechanics:
  - Length: 8 months
  - During this period, new receivables are purchased monthly, equal to 8% of the beginning receivable balance. Principal collections are used to fund these purchases, and no principal payments are made to the notes. After month 8, no additional receivables are purchased.
- Capital Structure & Pricing:
  - Class A Notes: $375 million (Coupon: SOFR + 1.0%)
  - Class B Notes: $75 million (Coupon: SOFR + 3.0%)
  - Seller's Interest: $50 million
  - SOFR Assumption: 4% flat
- Amortization & Waterfall:
  - Post-revolving period, principal collections and recoveries are used to repay the notes.
  - Available principal is distributed pro rata between Class A and Class B based on their *original* principal balances.

- Interest payments are based on the respective *outstanding* principal balances and contractual coupon rates.
- Remaining cash after required noteholder payments flows to the Seller's Interest.

Deliverable

A final calculation determining the total amount of payments (interest and principal) received by the Class A and Class B noteholders over the 60-month modeling horizon.